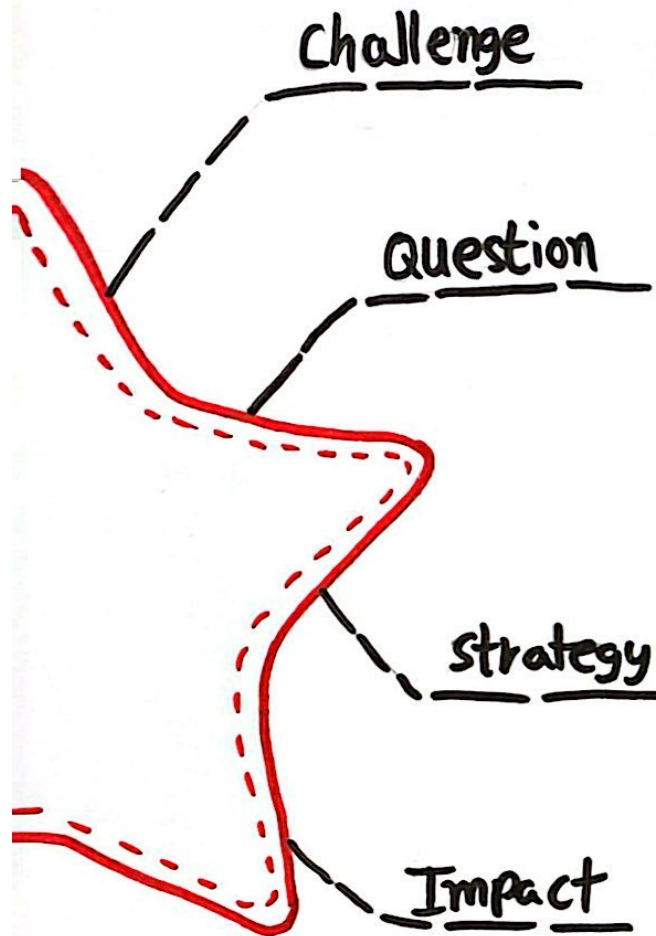


Micro
Connect
滴灌通

Team Goody Consulting

Executive Summary



Challenge

Expansion Barrier

Regulatory difference and investor unfamiliarity with DROs

Liquidity & Risk

DROs have low trading volume and volatile SME driving returns

Question

How can micro Connect achieve sustainable, scalable growth by effectively attracting global capital to China's micro and small businesses.

Strategy

①

Micro Connect Clubhouse
(Awareness & Global Expansion)

②

China Tech-Networking
(consideration & purchase)

③

Micro Connect Fin-Policy
(Loyalty)

Impact

CAGR 15.86 %

ROI 25.66 %

Analysis

Strategy

Implementation

Impact

SWOT Analysis

Strengths

- ① Disruptive Financing Model (DRCs): Innovative Daily Revenue Contracts offer a unique, flexible alternative to traditional financing
- ② Data-Driven Investment: Leveraging big data and AI for prediction
- ③ MCEX Liquidity: Provides a platform for trading DRCs

Weaknesses

- ① Regulatory Vulnerability: Dependence on Chinese policies
- ② Trust Deficit: Need for investor education
- ③ Fraud Risks: Limited Operational control.
- ④ Scalability Issues: Managing a growing investment portfolio.

Opportunities

- ① Geographic Expansion: Entering more cities
- ② Securitization Introducing: ABS/DRGs for liquidity
- ③ Global Partnerships: Attracting international investors
- ④ AI Optimization: Enhancing AI for better strategies and forecasting.

Threats

- ① Competition from financial institutions and fintech
- ② Economic Risks: Impact of downturns and failures.
- ③ Regulatory Uncertainty: changes in laws
- ④ Investor Sentiment: Fluctuations in confidence

Analysis

Strategy

Implementation

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Customer Analysis

first

MSMEs — Need financing but can't get
bank loans or VC/PE investment

Institutional Investors — Seeking high-yield
& impact investments

HNWIs &
Individual Investors — Want passive income
& liquidity in alternative assets

Prioritizes

last

Analysis

Strategy

Implementation

Impact

Important question.

How can **Micro Connect** sustainably scale by attracting global investment to Chinese?

Analysis

Strategy

Implementation

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Strategy 1: Micro Connect Clubhouse



Key Objective

educate and raise awareness
about DRC model among
Key financial stakeholders
in China.

50% B2B / Institutional investor

30% SMEs

20% Academia & Policymakers

Project attendee by demand region ↴

→ expect from lowest to highest: 150-1,200
attendees

Analysis

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Impact

mirror successful

HFM market, FOREX broker, education
conference tour

→ HFM's campaign resulted:

20% YoY growth 5% conversion rate

Breakdown cost Operation

1. Event Setup:

- Venue Rental
- Marketing & Ads.
- Speaker Fee & Travel
- Event Logis.
- Catering

2. Technology cost

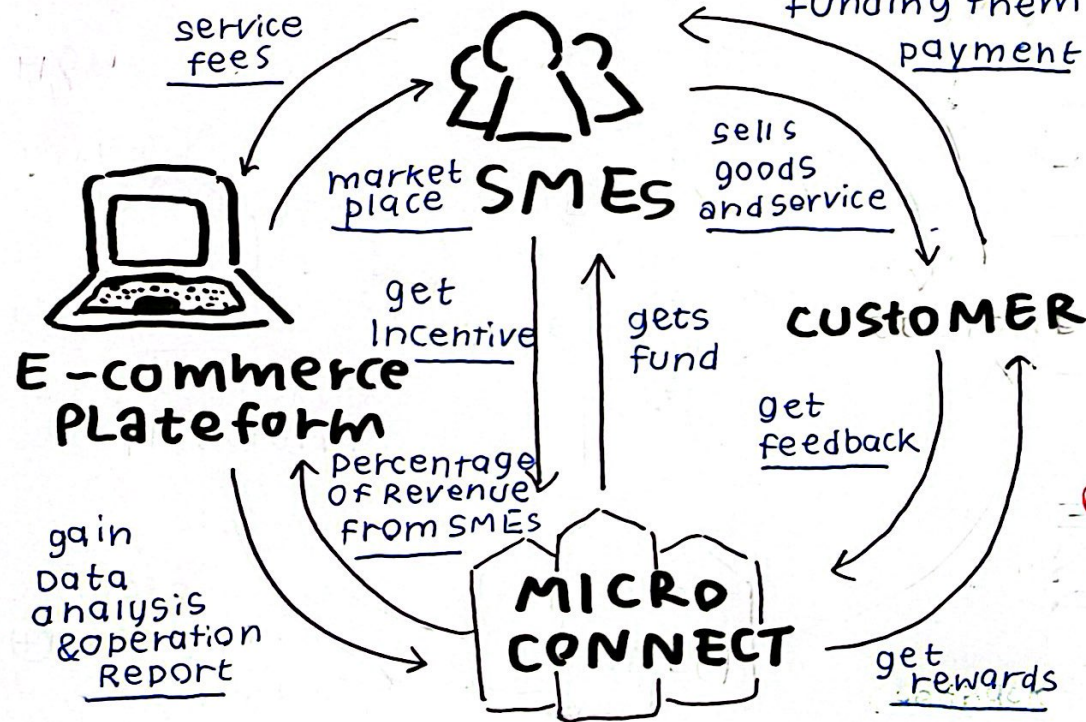
- Hybrid conference Setup
- Website & registration portal
- Live Q/A session, post-event analytic tracking

STRATEGY 2 China Tech-Networking

Key Objective - collaborate with online platforms

to obtain accurate information
and analyze sales and data

→ Determine whether to continue
funding them



E-commerce marketplace

- 1) allow investment in SMEs without the need to manage logistic directly
- 2) full-fledge ecosystem for online selling, including payment process, shipping, marketing
- 3) The accuracy of Information

TAOBAO & PINDUODUO

- Online platform that SMEs in China use

- mass-market - customer: Gen Z

- low-cost

CLOUD KITCHEN

- High Growth Potential in food delivery

- Multiple Revenue streams
(one kitchen can run multiple brands)

(ex) Baidu Waimai

China's e-commerce market
growth 9.8% year-on year

Cloud Kitchens
53.4% of the
domestic food delivery

Analysis

Strategy

Implementation

Impact

Strategy 3 : Micro Connect Fin-Policy

Official Financial Protocol for DRCs in China

Action Required:

- China Securities Regulatory Commission and National Development and Reform Commission to recognise DRC as financial instrument.
- Ensure foreign investor, taxation clarity and enforceability of revenue-sharing.
- Secure endorsement from ICBC or Bank of China.

Expectation

- ✓ Regulatory stability & Market Trust
- ✓ Faster Market Expansion

Launch ASEAN Regional Fund

Action Required:

- Secure partnerships with Asian Development, International Finance Corporation, China Investment Corporation.
- Align fund structure with China's Belt & Road Initiative.

Expectation

- ✓ Stronger International Presence & Policy Influence
- ✓ Greater SMEs coverage & Market Leadership
- ✓ Institutional Capital Mobilization

Key Objective: Strengthen regulatory approval, liquidity, institutional investor participation in Micro Connect Exchange

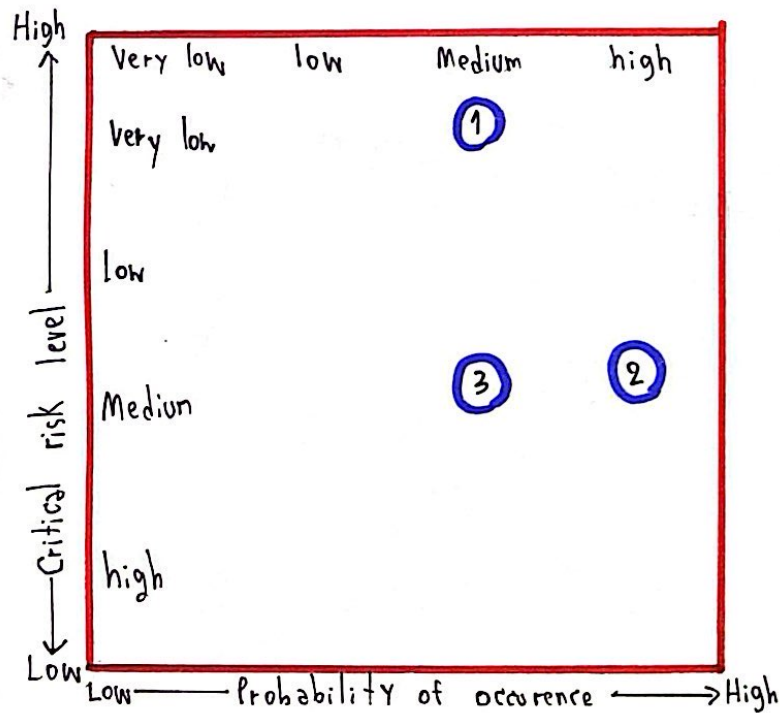
Analysis

Strategy

Implementation

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Risk Mitigation



Risk

① Market & Economic Risks

MSMEs are highly sensitive to economic downturns.

② Liquidity Risks in MCEX

If investors cannot easily exit their positions, they may hesitate to invest in DRCs

③ Regulatory & Compliance Risks

Lack of clear government regulations on DRCs could create legal uncertainty

Analysis

Strategy

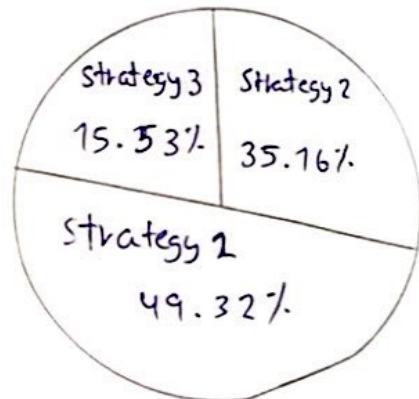
Implementation

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Impact Forecasting

Cost Allocation

Total Cost



Strategies

Strategy 1: Micro Connect Clubhouse

- Campaigns Collaboration
- B2B partnership events

Total estimated cost: 3,500,000 CN¥

Strategy 2: China Tech-networking

- E-commerce market
- Cloud Kitchen

Total estimated cost: 4,500,000 CN¥

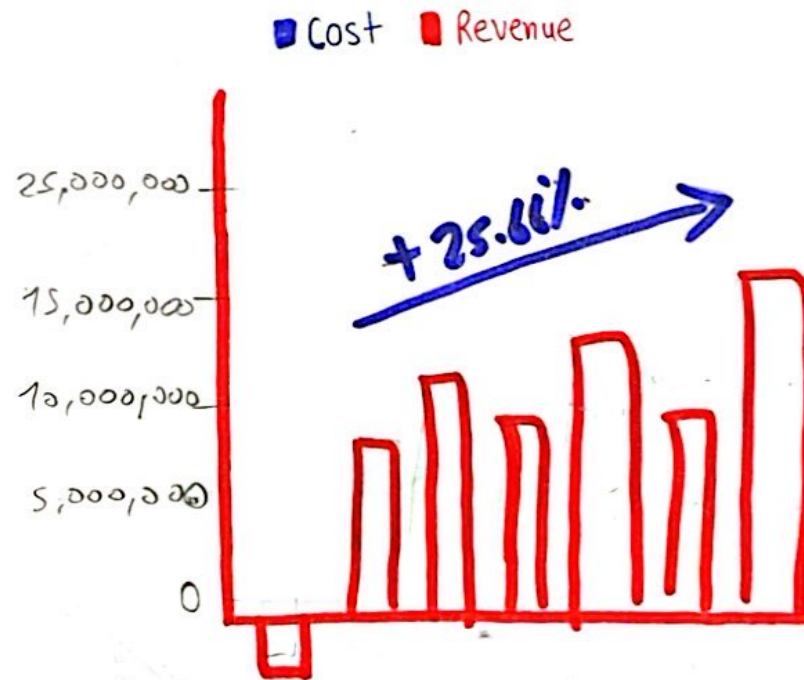
Strategy 3: Micro Connect Fin-Policy

- Funding Decs

Total estimated cost: 2,500,000 CN¥

Analysis

Retained Earning and Cost Comparison



Estimated Cost: 10,500,000 CN¥

Gross profit: 25,300,000 CN¥

Impact

CAGR 15.86%

ROI 25.66%

Awareness per year

69.78%

Strategy

Implementation

Impact